

● THREE PRESSURES HITTING YOUR CLIENTS' BOTTOM LINE

Your clients' margins are *under quiet attack* right now

We track the craft beverage space continuously so your team doesn't have to. This month the story isn't a fun new drink — it's **money**. Three forces are squeezing your coffee clients' profit at once, and each one has a marketing move that protects them. Here's what we're seeing.

\$3.20/lb THE SQUEEZE · INPUT COSTS

Green coffee is at its highest sustained price since the 1977 frost crisis

Arabica has held above **\$3.20/lb** into early 2026, pushing retail prices up **40–60%** and café drinks up \$0.50–\$1.50 a cup. Layer on rising labor (35–45% of revenue) and rent, and roasters are **operating at or near break-even**. The relief everyone hopes for in late 2026 is not guaranteed.

THE MOVE Reframe price increases as **value, not apology**. The data shows small, well-told price rises protect margin far more than they cost customers — but only when the story is told well. That's a campaign, not a price tag.

80% THE LEAK · CUSTOMERS LEAVING

Home brewing now saves customers 80% — and they've done the math

With café drinks at **\$5–7** and a subscription bag delivering quality cups at ~\$1, customers are **brewing at home and switching to subscriptions**. Grinder sales are up 40–60%. Even a major chain reported customers trading down to grocery coffee and Diet Coke for caffeine.

THE MOVE If clients can't beat home brewing on price, they win on **what home can't give** — ritual, community, the "third place." Or flip it: launch their own subscription and **capture the at-home dollar** instead of losing it.

\$8.47 THE SHIFT · LOYALTY UP FOR GRABS

Average tickets rose, but loyalty didn't follow the money

The average independent ticket climbed to **\$8.47** (from \$7.82), yet even big chains posted same-store sales **dips**. Higher spend, softer loyalty. Younger drinkers are actively choosing **local and authentic over scale** — a gap chains structurally can't close.

THE MOVE This is the opening for independent clients. The winners **"identify a niche and defend it ferociously"** — hyper-local sourcing, a real community model, a signature method. Marketing's job: make that reason to choose them impossible to miss.

WANT TO SEE THE FULL PICTURE?

The complete *Monthly Margin & Opportunity Report* goes deeper — built around your clients' exact niche.

Every month we compile a full briefing — scored opportunities, ready-to-use templates, and ad angles — delivered as work product your team can use the same day. Reply if you want to see what it looks like.

Reply to
see a sample report

We'll follow up within 2 days

EVERY MONTHLY BRIEFING INCLUDES ✓ 4–6 scored opportunities ✓ 3–5 email templates ✓ 2–3 ad angles ✓ Real-time alerts